

Retail Equity Research

JSW Energy Limited

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Sector: Power Generation

Recommendation
Positive

Company Overview

JSW Energy Limited is a power generation company, part of the O. P. Jindal Group. It operates a diversified portfolio including thermal, hydro, wind, and solar assets. The company is actively pursuing significant capacity expansion and aims for carbon neutrality by 2050.

Investment Thesis

- Strong Operational Growth: Net generation increased by 52% YoY to 14.9 BUs in Q2 FY26, driven by both thermal and renewable segments.
- Robust Financial Performance: Q2 FY26 EBITDA surged by 67% YoY to ■ 3,180 Cr, with H1 FY26 EBITDA growing 79% YoY, reflecting healthy cash flow generation.
- Aggressive Capacity Expansion & Strategic Acquisitions: Installed capacity reached 13.2 GW, with 12.5 GW under construction and a target of 30 GW by 2030, supported by key strategic acquisitions.

Financial Metrics

Metric	Value
Revenue	5,361
Revenue Growth	55%
EBITDA	3,180
EBITDA Margin	59%
PAT	705
PAT Growth	-17%

Outlook

JSW Energy is poised for significant expansion, targeting 30 GW generation capacity and 40 GWh energy storage by 2030. The company focuses on sustainable growth with a commitment to carbon neutrality by 2050 and enhancing renewable power share to two-thirds of its total installed capacity. Strategic acquisitions and a robust project pipeline underpin future growth.

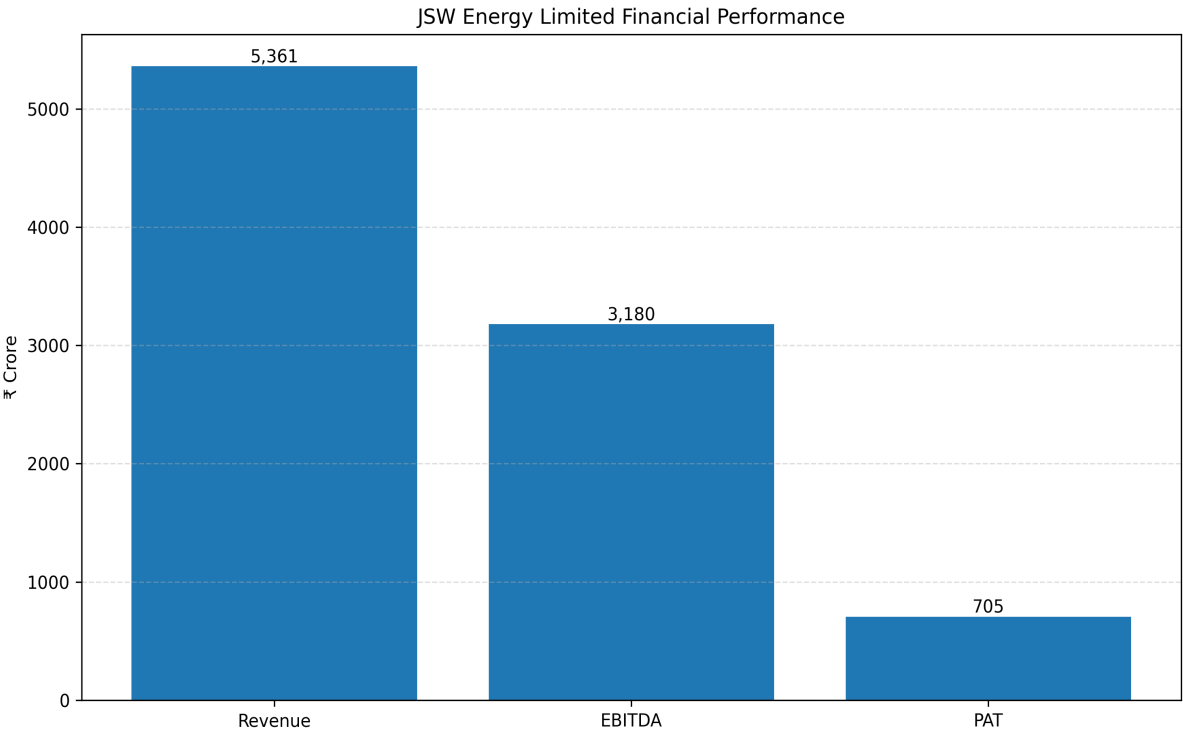
Key Highlights

- Net Generation increased 52% YoY to 14.9 BUs in Q2 FY26, with RE generation up 42% and Thermal generation up 62%.
- Reported EBITDA grew 67% YoY to ■ 3,180 Cr in Q2 FY26, driven by organic renewable capacity additions and contributions from Mahanadi and O2 Power.
- Installed capacity reached 13.2 GW, with 443 MW organic renewable capacity added during Q2 FY26, including 240 MW Kutehr HEP.
- Completed strategic acquisition of KSK Water Infrastructure and entered a scheme to acquire GE Power India's boiler manufacturing business.

Growth Drivers

- Organic renewable capacity additions and contributions from acquired assets like O2 Power.
- Increased generation from Mahanadi and Utkal Unit-II thermal plants.
- Ambitious capacity target of 30 GW by 2030 and 40 GWh energy storage, supported by projects under construction and in the pipeline.

Financial Performance



Risks

- Fluctuations in earnings.
- Company's ability to manage growth.
- Competition, government policies and regulations.